

Core Course in Business-Lecture,Section-1-Summer 2023

Личный кабинет / Мои курсы / Core Course in Business-Lecture,Section-1-Summer 2023 / A&F Week 7. Part B: Fundamentals of Capital Budgeting / A&F Quiz 4

Тест начат	Friday, 21 July 2023, 11:00
Состояние	Завершены
Завершен	Friday, 21 July 2023, 11:20
Прошло времени	19 мин. 53 сек.
Оценка	7,00 из 8,00 (88%)

Вопрос 1

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

Calculate the free cash flows for the year if EBIT is \$630,000, tax rate is 30%, depreciation is \$140,000, the capex is \$380,000 and the change in net working capital requirement is \$80,000.

☒ a. \$121,000

☐ b. \$310,000

☐ c. -\$160,000

☐ d. -\$159,000

☐ e. -\$320,000

✓

Вопрос 2

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

A company has 55% debt and 45% equity in its capital structure. The after tax interest rate on debt is 6% and required return of stockholders is 15%. The company has an investment opportunity with an IRR of 9%. Should the company accept this opportunity?

☒ a. No, because cost of capital of 10.1% is higher than IRR of 9%

☐ b. No, as cost of capital of 12.6% is higher than IRR of 9%

☐ c. No, as the required return of shareholders (15%) is higher than the IRR (9%)

☐ d. Yes, as the IRR of 9% is higher than the cost of debt of 6%

☐ e. Yes, because cost of capital of 9.6% is higher than IRR of 9%

✓

Вопрос 3

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

When evaluating two mutually exclusive projects, which project is preferred?

☐ a. The project with the shorter payback period

☐ b. The project with the higher IRR

☐ c. The project with the lower initial investment

☒ d. The project with the larger NPV

✓

Вопрос 4

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

Company A is deciding whether to invest in opening a new plant. The company paid \$300,000 for market research that helped to estimate new plant's annual revenues of \$12 million. However the company will lose sales of the old plant due to opening of a new plant of \$2 million per year. The company needs to acquire land for this purposes for \$1 million and will use available construction materials that cost \$3 million to build this plant. If not used the company will sell the materials at \$3 million. Which of the described revenues and costs are relevant (incremental) in determining whether to invest in this project or not?

☐ a. Revenues of \$10 million and cost of land of \$1 million.

☐ b. Revenues of \$12 million, cost of market research of \$300,000 and cost of construction materials \$3 million.

☒ c. Revenues of \$10 million, cost of land of \$1 million and cost of construction materials \$3 million.

☐ d. Revenues of \$10 million, cost of market research of \$300,000 and cost of land of \$1 million.

☐ e. Revenues of \$12 million, cost of land of \$1 million and cost of construction materials \$3 million.

✓

Вопрос 5

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

The Payback Period represents the time it takes to:

☒ a. Recover the initial investment

☐ b. Calculate the Net Profit Value

☐ c. Double the initial investment

☐ d. Achieve a certain target profit

✓

Вопрос 6

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

You are considering a project with an initial cost of \$7,600. What is the payback period for this project if the cash inflows are \$2,100, \$1,640, \$4,800, and \$1,500 a year over the next four years, respectively?

☒ a. 2.80

☐ b. 3.02

☐ c. 3.24

☐ d. 2.21

☐ e. 2.93

✓

Вопрос 7

Неверно

Баллов: 0,00 из 1,00

Отметить вопрос

The following is the free cash flows estimation for Project A. The cost of capital is 10%. The project's cash flows starting from year 4 and further are going to increase by 4% forever. What is the NPV of the project?

Years	0	1	2	3
FCF	\$ (175,000)	\$ 23,000	\$ 12,000	\$ 10,000

☐ a. -\$13,946

☐ b. -\$11,441

☐ c. -\$6,433

☒ d. -\$134,212

☐ e. -\$130,000

✗

Вопрос 8

Верно

Баллов: 1,00 из 1,00

Отметить вопрос

Fluffy Cake, a seller of cakes, is considering introducing a healthier version of its cakes. The firm expects that sales of the new healthy cake will be \$5 million per year. Fluffy Cake estimates that the original cake's sales will drop by 20% due to the switch to the healthy version. The current level of sales of the original cake is \$12 million. The firm also expects that due to the introduction of healthy cakes the current sales of spinach cupcakes will be increased by 15%. The current level of sales of spinach cupcakes is \$8 million. What is the level of incremental sales?

☐ a. \$5 million

☐ b. -\$11.4 million

☐ c. \$21.4 million

☐ d. \$28.6 million

☒ e. \$3.8 million

✓

Навигация по тесту

1	2	3	4	5	6	7	8
✓	✓	✓	✓	✓	✓		✓

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